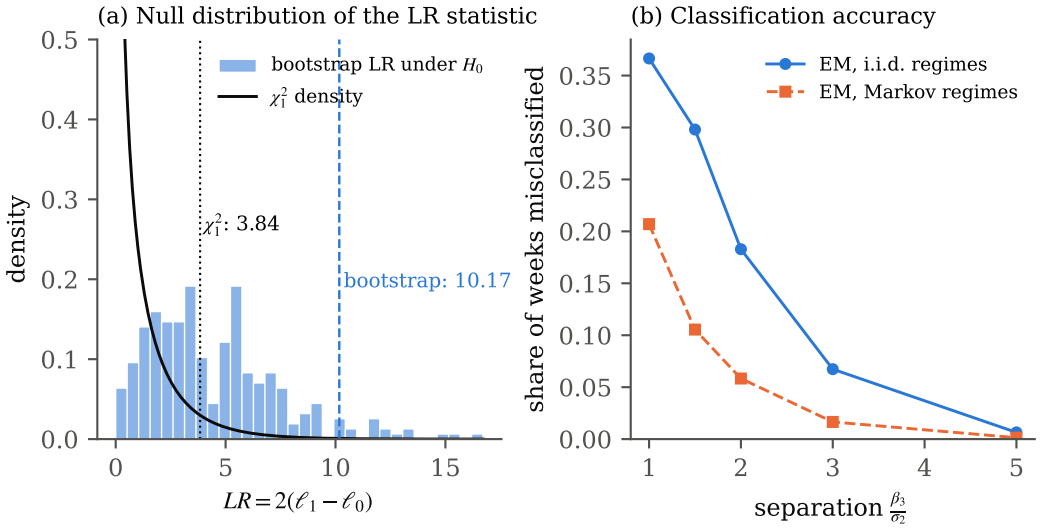
(a) Null distribution of the LR statistic
bootstrap LR under H_0
χ^2_1 density
χ^2_1: 3.84
bootstrap: 10.17
density
0.0
0.1
0.2
0.3
0.4
0.5
0
5
10
15
$LR = 2(\ell_1 - \ell_0)$
(b) Classification accuracy
EM, i.i.d. regimes
EM, Markov regimes
share of weeks misclassified
0.00
0.05
0.10
0.15
0.20
0.25
0.30
0.35
1
2
3
4
5
separation $\frac{\beta_3}{\sigma_2}$